



DRAFT

Contollo Group

AI Readiness Assessment

James Taylor, 20 July 2026

Strictly Private & Confidential



Notice

This report (“Report”) has been prepared by Semanti Labs Ltd (trading as “Semanti”) for Contollo Group (the “Client”) at the request of NorthEdge Capital LLP (the “Investor”).

The purpose of this Report is to assist our Client and their Investor in understanding the potential risks and opportunities resulting from advances in artificial intelligence (“AI”), over the short, medium and long term.

The Report is confidential and the reader must not distribute, reproduce or disclose this Report to any third party unless prior written consent of Semanti is obtained. Consent will not be unreasonably withheld.

Unless otherwise agreed, Semanti shall have no liability whatsoever, including in negligence, to the reader for any loss or damage howsoever arising, suffered directly or indirectly, as a result of the reader relying on the Report. By continuing to read or otherwise access the Report, the reader agrees that it shall not rely on the Report and shall not bring any claims, proceedings or other actions against Semanti with respect to it. This Report is based on information available at the time this Report was prepared. The Report is based upon certain assumptions and information including both public and private sources.

The Report contains “forward-looking statements”, which inherently involve known and unknown risks, uncertainties and other factors that may cause actual results, performance and achievements to differ materially from any forward-looking statements contained in the Report. Nothing contained herein should be relied upon as a promise or representations as to the future.

Assessment Scope & Approach

Semanti was engaged by NorthEdge Capital LLP, to undertake an assessment of the AI readiness and maturity of specified Portfolio Companies. The objective is to provide the Investor and each Client with a clear, actionable understanding of their current AI capabilities, opportunities, risks, and recommended next steps.

Approach

Phase 1 — Pre-fieldwork review

- Configuration of the Aperture assessment framework for Contollo and review of public information, Company materials, and the Investor's thesis to establish a baseline view of AI maturity across key dimensions.
- Nominated stakeholders complete a structured self-assessment questionnaire covering data, technology, organisation, governance, current AI/ML capability, and strategic alignment.
- This report incorporates findings from the leadership fieldwork session held on 2 July 2026; the Aperture self-assessment remains to be completed and appended.

Phase 2 — Fieldwork

- Structured session held with Contollo leadership on 2 July 2026 to validate the baseline and review the technology, data, and operational estate.
- Identification and prioritisation of AI use cases, opportunities, and risks, and assessment of organisational capability and change readiness.
- Validation of self-assessment findings against delivery, commercial, and data realities.

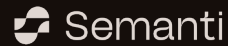
Phase 3 — Analysis and Report Creation

- Categorisation of risks by impact and likelihood, and opportunities by value and ease of implementation, across short, medium, and long-term horizons.
- Final analysis, recommended next steps, and review of key findings with the Client (this report).

Deliverables

Ref	Deliverable	Description
D1	Aperture Self-Assessment Configuration	Configuration and deployment of the Aperture tool for the Portfolio Company, including tailored questionnaire and stakeholder access.
D2	Preliminary Findings Brief	Summary of key themes and areas of focus identified from the self-assessment, used to guide the on-site visit.
D3	AI Readiness Assessment Report	Written report for each Portfolio Company and the Customer covering: • Baseline AI maturity scoring across key dimensions; • Risk assessment across short/medium/long term time horizons including business model, data and information security, and risk mitigation potential; • Data readiness and infrastructure assessment; • Organisational capability analysis; • Opportunity identification, ranking, high level cost/benefit range and high level implementation roadmap; and • Recommended next steps.
D4	Executive Summary Presentations	Slide deck summarising key findings and recommendations, suitable for presentation to Client leadership and the Investor's, in addition to an overarching presentation for the Investor, summarising the assessments across all Portfolio Companies in scope.
D5	Mythos High Level Risk Assessment	Written report summarising the potential risks arising from Claude Mythos Preview and recommended next steps.

02



Business Model & Competitive Environment

Business Model

Contollo is a UK built-environment consultancy group providing project management, cost management, and MEP engineering across sectors including industrial and logistics, commercial, finance, healthcare, and education. Formed in October 2023 and backed by NorthEdge Capital's SME Fund I, it completed five acquisitions in around 13 months (Abacus, TACE, MBA Consulting Engineers, ESP, and KAM Project Consultants) and now runs at around 230 professionals across 19 offices, including Frankfurt, with reported turnover of around £35m. Clients include Amazon, IKEA, DHL, the NHS, Nationwide, and Legal & General.

Three service lines, five specialist firms

Contollo organises around three service lines: project management (running capital projects for occupiers and developers), cost management (quantity surveying, estimating, and commercial assurance), and MEP engineering (mechanical, electrical, and public-health design), delivered through five acquired firms that retain their own brands, client bases, and regional footprints.

Economics: fee-based, project-led, labour-leveraged

Revenue is fee-for-service: MEP engineering splits roughly evenly between percentage-of-construction-cost and time-charge fees, cost management is priced against construction cost and time, and project management is around 90% fixed fee. Margins depend on utilisation, project recovery, and the ratio of junior to senior time — much of the fee is earned on measurement, take-off, calculation, and documentation. That is exactly the layer AI is beginning to automate.

Why clients buy and stay

Clients buy sector knowledge, professional accountability, and continuity. Relationships run programme-by-programme with repeat buyers such as national occupiers and public bodies, and the professional appointment, with its duty of care and PI backing, is the product.

Business Model: Revenue & the Commercial Transition

Contollo monetises professional time and expertise rather than software or data. Revenue is project-led and fee-based across three service lines, and the basis on which those fees are set is exposed to AI on two fronts: the cost of producing the work is falling, and clients can increasingly see that it is falling.

Revenue composition

The group reports around £35m of turnover across five firms. Cost and project management commissions (Abacus, KAM) sit alongside MEP design (MBA, TACE, ESP), with concentrations in industrial and logistics, commercial, finance, and public-sector work. No single line dominates, but all three share the same underlying economics: fees priced against time and construction cost.

The time-and-fee model

MEP fees split roughly 50/50 between percentage-of-cost and time charges; project management is around 90% fixed fee. AI-assisted take-off, estimating, calculation, and drafting compress the effort — and client procurement teams, who already benchmark professional fees aggressively, will expect the saving passed through as lower fees rather than retained as margin.

The commercial transition

The shift is from selling hours to selling assured outcomes: fixed-fee and value-based commissions where AI-driven efficiency is retained as margin, and recurring data-led services, (benchmarking, cost assurance, carbon reporting), that are priced on value rather than time.

The integration thesis

Five firms bring five project histories, cost libraries, and client bases. Unified, that data is a group asset none of the individual firms could build alone — the raw material for benchmarking, prediction, and AI-assisted delivery, and the clearest route to revenue growth without new acquisitions.

Competitive Environment: A Consolidating Field

Contollo competes in a large, fragmented, and consolidating market for built-environment consultancy. It differentiates on multi-disciplinary integration, senior attention, and regional depth at a mid-market price point. The field falls into three groups.

1. Global multi-disciplinary majors — the scale benchmark

Turner & Townsend (now merged with CBRE's project-management business), AECOM, Arcadis, WSP, Mace Consult, Gleeds, RLB, and Currie & Brown run cost, project, and engineering services at scale, hold the major frameworks, and are investing hard in digital and AI. They set client expectations on tooling and data, but their cost base pushes them toward larger commissions.

2. PE-backed consolidation platforms — the direct peer set

Contollo's own model has peers: private-equity-backed buy-and-build platforms rolling up cost, project management, and engineering consultancies across the UK, part of a wider wave that has put PE behind a growing share of the top UK professional-services firms. These platforms compete for the same acquisitions, the same staff, and the same mid-market clients.

3. The regional long tail — the share donor

Hundreds of independent QS, project management, and MEP practices serve local clients on relationships and price. They are the source of Contollo's acquisitions and market share, but AI tooling also lets the best of them do more with fewer people, keeping fee pressure on the mid-market.

4. Barriers to entry are real but shifting

Professional accountability, PI cover, framework positions, and client relationships are genuine barriers. But AI is lowering the cost of producing the technical work beneath them, and the majors are converting proprietary data into tooling. Relationships protect the front of the engagement; AI is repricing the back.

Competitive Environment: Consolidation and AI Are Resetting the Bar

Two forces are reshaping the field at once: the majors are industrialising delivery around AI on owned technology, and clients are consolidating their consultant rosters. Both reset what a client expects from a built-environment consultancy — and both raise the bar for a mid-market group formed from five firms.

Scale is re-platforming around AI

AECOM acquired Consigli, an AI engineering-automation business, for around \$390m in November 2025 to automate design calculation, clash resolution, and tender documentation across its global business. Turner & Townsend's merger with CBRE project management (January 2025) concentrates cost and programme data at a scale no mid-market firm can match. Specialist tooling e.g. Tegal and Kreo for take-off, nPlan and ALICE for schedule risk, Augmenta and Hypar for MEP design, are reaching production quality.

But relationships and accountability move slower than tooling

Construction clients buy accountability as much as analysis; a professional appointment with a duty of care cannot be replaced by a software license. Adoption in the sector is early: industry surveys in 2026 put firms reporting measurable AI impact at around 38%, up from 17% two years earlier. The window to act is open, but it is measured in a couple of years, not a decade.

Integration is the opening

The majors are strong on scale but stretched on attention; the long tail is attentive but narrow. A mid-market group that integrates cost, project management, and MEP data across five firms and delivers AI-assisted work with senior accountability sits in a genuinely open position — provided it unifies its data and tooling before the majors reach down-market.

Competitive Environment: Strengths and Exposure

Contollo's advantages are real, but most are relational rather than proprietary. The group has scale the long tail lacks and attention the majors lack, but it does not yet own technology or unified data that a competitor cannot replicate.

What protects Contollo today

Multi-disciplinary coverage across cost, project management, and MEP under one group. Long-tenured client relationships and framework positions held by the five firms, with blue-chip and public-sector clients including Amazon, IKEA, the NHS, and Nationwide. Sector depth in industrial and logistics, finance, and healthcare — and the high staff retention the group highlights.

Where Contollo is exposed

No proprietary technology, benchmark data asset, or AI capability in the public domain. Fee models priced against time and construction cost — the exact basis AI compresses. Five firms part-way through integration, with separate systems, data formats, and ways of working.

Overall view

The defences hold today but will be tested at every fee negotiation and framework renewal. The strategic task is to convert five firms' relationships and project histories into one structural advantage: unified data, governed AI-assisted delivery, and outcome-based commissions, before fee compression arrives at scale.

03



Executive Summary

Executive Summary

Contollo is a well-positioned but exposed business. Its fee base — priced against time and construction cost across cost management, project management, and MEP engineering — sits directly on the layer of work AI is beginning to automate.

The central risk is fee compression, and it is already underway

AI-assisted take-off, estimating, and drafting collapse the junior-hours base beneath the group's fees, and client procurement will expect the saving. Compounding this: the majors are industrialising delivery on owned AI, and unmanaged AI use across five firms creates data-leakage and liability exposure today.

The current state is willing but constrained

Integration debt from five acquisitions: siloed data, underused tooling, and an underperforming MSP, constrains AI readiness more than technology does. Change capacity is the binding constraint; leadership's empowerment-first framing is the right foundation for a 230-person transition.

The opportunity is to convert the buy-and-build into a data advantage

Capture AI efficiency internally before clients force the saving; codify tacit estimating expertise into a governed "second brain"; unify five firms' project histories into one benchmarking asset; and commercialise it — ESG/GRESB reporting, post-handover monitoring, and cost intelligence priced on value, not time.

Next steps are aligned pending prioritisation

- Immediate: governance foundations — acceptable-use policy, retention decisions, MSP replacement, tenant-migration remediation.
- Next 90 days: one or two rapid-build products selected by ideation and scoring, plus the second-brain pilot.
- This year: the change-management plan and the unified group data asset.

Executive Summary

High-potential, early-maturity: clear leadership intent, strong data advantage, and a validated use-case pipeline, constrained by integration debt and change capacity. The priority is foundations first — governance, data unification, and one or two rapid proof-point builds.

Scoring below reflects the Aperture assessment framework, with each dimension scored out of five. Overall we score Contollo Group at 2.8 out of 5 with the high level rationale for scoring in each section captured below:

Dimension	Commentary	Post Fieldwork Scoring (out of 5)
AI Strategy & Vision	Leadership engagement is strong and pragmatic: the ambition is practical delivery rather than strategy documents, with an empowerment-first change narrative. However, there is not yet a formal AI strategy, prioritised roadmap, or named ownership; the ideation and scoring session is the mechanism to convert intent into a sequenced plan.	3.0
Data Readiness	The group's biggest latent asset and its biggest gap. Privileged access to client and building data (~80% repeat business) and five firms' project histories offer real advantage, but data remains siloed post-acquisition with inconsistent storage and processes, and tacit estimating knowledge is undocumented. Unification and governance (Opportunity E) are prerequisites for most of the pipeline.	2.5
Technology Infrastructure	Well progressed consolidation onto a single Microsoft tenancy, which is the right foundation, but carrying integration debt: underused core tooling, stalled standardisation, and an underperforming MSP being replaced.	2.6
Workforce & Skills	A tech-savvy junior cohort is an asset, but the mid-level "hourglass" gap (4—10 years PQE) and a training model built on junior production work make workforce transition a first-order issue. Adoption must be won with tailored onboarding, particularly for tech-traditional managers.	2.8
Use Cases & Value	Strong: the leadership session validated a rich, credible pipeline spanning run-the-business (CRM, PSA agents, finance flash), delivery (second-brain estimating, cost intelligence), and data products (ESG/GRESB, post-handover monitoring), several buildable in weeks. Prioritisation, not ideation, is the constraint.	3.0
Governance & Risk	Workable today but informal: acceptable-use policy, approved-tools register, retention decisions, and Copilot guardrails are all pending, while shadow-AI use is almost certainly already occurring across the five firms. GDPR-aware instincts (in-situ processing, opt-in consent) are sound; they now need codifying.	3.0
Overall		2.8

Current State: Technology Estate & Integration Debt

The leadership fieldwork session held on 2 July 2026 validated the baseline and surfaced the current-state picture across the group's technology, data, and operations. The consistent theme: ambition is running ahead of the plumbing — integration debt from five acquisitions constrains both day-to-day productivity and AI readiness.

Basic tooling is underused, and standardisation has stalled

Leadership want practical improvement over high-level strategy: basic capability in the cost and project management toolsets is underused, and prior standardisation attempts (e.g. title blocks) stalled. The agreed route is to embed standards inside genuinely helpful AI tools — a 'Trojan horse' for adoption — coordinated with the external consultants engaged to harmonise delivery technology and processes.

Data remains siloed post-acquisition

Despite consolidation onto a single Microsoft tenancy, data across the acquired firms remains siloed, with inconsistent storage and processes. Tenant-to-tenant migration has left gaps (Teams chats, channels, and calendars) that need a scripted, multi-week remediation while root access to the legacy tenant remains available.

IT operations need re-founding

The incumbent MSP is underperforming for a ~240-seat organisation — slow rollouts, inconsistent standards, poor remote hardware support — and will be urgently replaced. A hybrid IT Systems Manager role is planned, keeping systems integration (CMAP, Business Central, HR, LMS) in-house while routine administration moves to the new MSP.

Current State: Organisation, Talent & Change Readiness

Change capacity, not technology, is the binding constraint. In leadership's framing, technology is easy, process is harder, people are hardest. Their instinct to lead with empowerment, mastery, and client quality rather than productivity-and-fear messaging is the right foundation for bringing a 230-person organisation through the transition.

The hourglass talent profile

The group carries a mid-level talent gap (roughly 4–10 years PQE), a legacy of the 2008 recession, with strength at the junior and senior ends. The stated strategy: leverage junior, tech-savvy hires plus AI to accelerate their development, makes the redesign of the junior pathway (Risk H) a first-order strategic issue rather than an HR footnote.

Adoption will be won with carrot, not stick

Leadership adoption requires tailored onboarding, particularly for tech-traditional managers, and staged adoption with interim solutions was agreed as the operating principle. Change management (ownership, messaging, and timeline) should be treated as a workstream in its own right, not a by-product of tool rollout.

Tacit knowledge is the scarce asset

Early-stage estimating depends on undocumented expertise ('measuring what's not on the drawing') that emails do not capture. Codifying it into a governed 'second brain' could support 70–80% automation of early-stage estimates, provided versioning, currency checks, and reconciliation of divergent expert views manage the risk of wrong or outdated advice.

Current State: Data Advantage & Governance Posture

The session confirmed a real, under-exploited data advantage and a governance posture that is workable today but needs deliberate hardening before the AI use-case pipeline scales.

Privileged client data access

Around 80% of business is repeat, and long-term relationships give privileged access to BMS and building-performance data across client portfolios. Most of that building stock will be in use for decades — live-building optimisation, ESG/GRESB reporting, and post-handover performance monitoring (e.g. DfE staged reporting at 6/12/24 months) are all serviceable from this position, subject to agreed data-access governance.

Pragmatic, low-risk-first data processing

Email and document processing will stay in-situ within the EU Microsoft 365 tenancy via the Graph API, starting with external customer emails identified from CRM-derived domains, with metadata tagging and exclusion rules for personal email. Role-based access, GDPR-compliant controls, and opt-in client consent for meeting transcription set the guardrails.

Licensing and retention decisions are pending

Current Team-tier AI licensing is acceptable on security; Enterprise adds provisioning. Open decisions: data-retention settings on AI tooling (disable or document risk acceptance), sub-processor agreements, and governance for Copilot agent workflows (limited user groups, scoped folders, copy-only). Model capability should be verified against native Claude before licences are committed, to avoid overlap.

Current State: A Validated AI Use-Case Pipeline

The session identified and pressure-tested a pipeline of practical use cases — the delivery route for the opportunities in Section 05. Several are rapid builds measured in weeks, and an ideation and scoring session will select the first one or two.

Run the business: CRM, PSA, and finance

Bootstrap the CRM with AI-extracted, enriched customer data for human validation, then adopt a mid-market SaaS CRM rather than building; pair the PSA/timesheet system (CMAP) with a ‘doing’ agent for updates and an ‘analyst’ agent for insight, subject to API/MCP support; and build a finance ‘monthly flash’ in Microsoft Fabric and Power BI over Business Central, computing variances and run-rates and flagging issues such as payroll overspend.

Deliver the work: estimating and cost intelligence

The ‘second brain’ estimating pilot; dynamic cost metrics e.g. 30–40 MEP components updated monthly with dashboards and gamified incentives; commodity-index-linked forecasting (oil, steel, copper) with threshold alerts; back-testing Stage 1/2 cost plans against Stage 4 outcomes; and a watch on material substitutions (e.g. copper to aluminium wiring) for savings.

Sell the future: data-led products

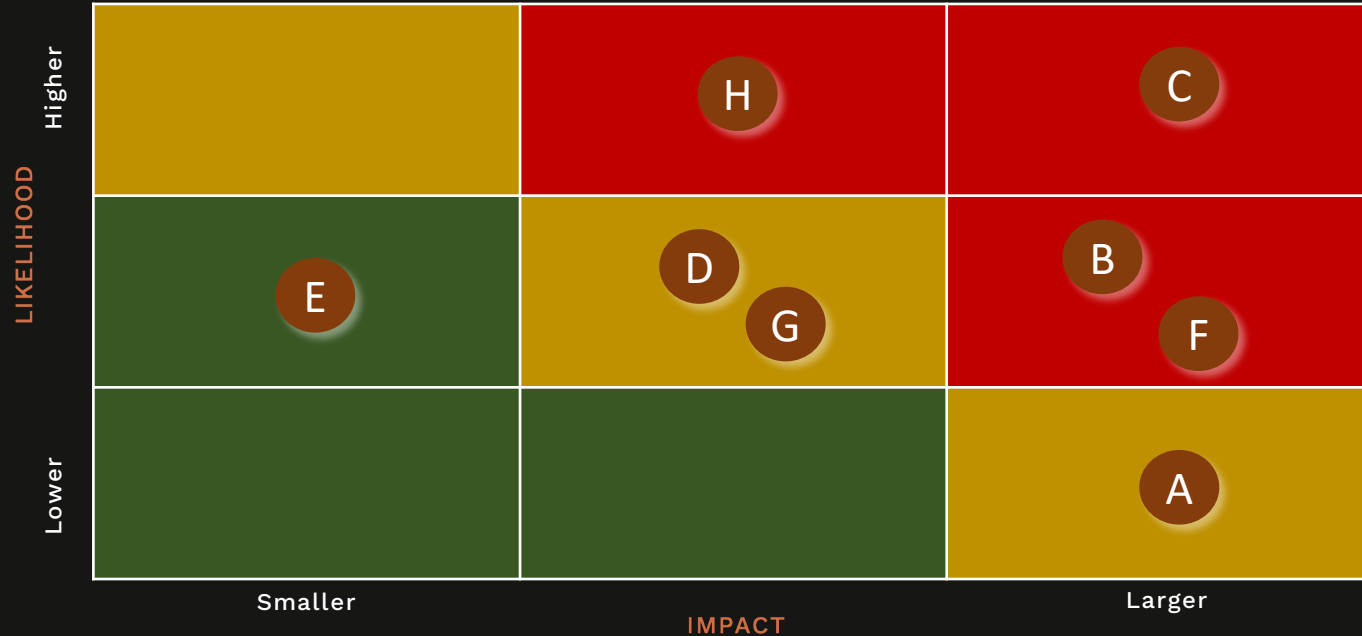
An in-house, auditable ESG/GRESB subscription reporting product built on first-party data at well below incumbent-tool cost; post-handover performance monitoring tied to retention release; and proprietary benchmark datasets as a valuation asset, subject to validating rights over subscription sources (Spon, BCIS) before any digitisation.

04 Risks



Risks: Impact and Likelihood

The dominant near-term risk is fee compression as AI automates the production layer of all three service lines (C), compounded by workforce and shadow-AI exposure (H). The most material structural threats are design and cost software absorbing the services layer (B) and scaled competitors industrialising delivery with owned AI (F). Long-horizon, lower-likelihood displacement by an AI-native challenger (A) sits further out. Time horizons are shown in the tables that follow.



Risks

Icon	Risk	Likelihood	Impact	Mitigation
A	Long term: An AI-native challenger or a major's platform industrialises design, costing, and project controls end-to-end, displacing traditional consultancy delivery.	Low	High	Professional accountability, PI cover, and client relationships are real barriers. Move value up from production to assurance and outcome-based commissions.
B	Medium—long term: Design and cost software (Autodesk, RIB CostX, Tegal, Kreo, nPlan, ALICE) bundles AI that automates the take-off, estimating, and reporting Contollo bills for.	Medium	High	Adopt the platforms faster than clients do; keep the assurance and accountability layer; build the group benchmarking data asset the vendors do not have.
C	Short—medium term: AI collapses the junior-hours base beneath percentage-of-cost and time-charge fees across all three service lines; procurement expects the saving.	High	High	Capture the efficiency internally first; create a fixed-fee and outcome pricing option ahead of renewals; redirect freed capacity to advisory and data services.
D	Medium term: Large occupiers and developers use AI tooling to take cost and project controls in-house, cutting external commissions.	Medium	Medium	In-housing is episodic and partial; be the consolidated multi-disciplinary partner and run the client's AI-enabled controls on Contollo's rails.

Risks

Icon	Risk	Likelihood	Impact	Mitigation
E	Medium term: AI makes feasibility estimates, cost plans, and benchmarking easy to self-serve, commoditising the advisory layer.	Medium	Small	Lead with proprietary benchmarking built on the group's combined project history, packaged as a paid product.
F	Short—medium term: The majors (AECOM/Consigli, Turner & Townsend/CBRE) industrialise AI-assisted delivery and push down-market on price, speed, and tooling.	Medium	High	Reframe at-risk accounts and frameworks before re-tender: integrated delivery, senior accountability, and demonstrable AI-assisted efficiency.
G	Medium term: AI-assisted designs and estimates carry professional liability while PI insurers introduce AI exclusions and the Building Safety Act raises competence requirements.	Medium	Medium	Human-in-the-loop review gates, documented verification standards, early PI broker engagement, and a group approved-tools register.
H	Short—medium term: Workforce disruption and shadow-AI data leakage. The junior pipeline thins and client-confidential drawings and cost data can leak through public AI tools.	High	Medium	Implement a group-wide acceptable-use policy, approved-tools register, and governed gateway; redesign the junior development path around AI-assisted delivery.

An AI-native challenger displaces traditional consultancy delivery

Likelihood: Low Impact: High Horizon: Long term

The risk

An AI-native entrant or a major's platform (e.g. AECOM/Consigli) industrialises design, costing, and project controls end-to-end, making the traditional QS and MEP deliverable — priced on time and effort — redundant.

Why it is contained for now

Professional accountability, PI cover, statutory duties, and client relationships are genuine barriers, and construction clients adopt slowly. The moat is the appointment, not the analysis. This is a 5+ year risk to monitor, not a near-term cliff.

Mitigation

Move the group's value up from production to assurance: senior judgment, accountability, and outcome-based commissions on top of AI-assisted delivery, so the appointment survives even as the analysis is automated.

Design and cost software absorbs the services layer

Likelihood: Medium Impact: High Horizon: Medium–long term

The risk

Autodesk (Revit AI, Forma), RIB (CostX), Tegal, Kreo, and schedule tools such as nPlan and ALICE bundle AI that automates the take-off, estimating, calculation, and reporting Contollo bills for — and clients and contractors can license them directly.

Why it matters

These platforms sit beneath Contollo's work; as they move up the stack, the 'who does this for you' budget contracts. Sophisticated repeat clients with standing programmes are the most likely to self-serve first.

Mitigation

Treat the platforms as raw material: adopt them faster than clients do, keep the assurance and accountability layer, and build the group benchmarking data asset the software vendors do not have.

AI commoditises the production layer of fee-earning work

Likelihood: High Impact: High Horizon: Short–medium term

The risk

AI-assisted take-off, estimating, drawing review, calculation, and report drafting collapse the junior-hours base underneath percentage-of-cost and time-charge fees across all three service lines. Client procurement already benchmarks fees hard and will expect the saving.

Why it matters

This is structural and underway, not hypothetical, and it hits every fee line in the group at once. Left unmanaged it is gradual but persistent fee erosion as commissions renew — the single most important risk in this report.

Mitigation

Capture the efficiency internally first to build a margin buffer; move commissions toward fixed-fee and outcome-based pricing ahead of renewals; redirect freed senior capacity into advisory and data-led services (Opportunities B, C, and E).

Clients take cost and project capability in-house

Likelihood: Medium Impact: Medium Horizon: Medium term

The risk

AI lowers the barrier to in-housing: large occupiers and developers with standing capital programmes use AI tooling to run take-off, benchmarking, and project controls internally, cutting external commissions.

Why it is narrower than it looks

Professional accountability, PI cover, and peak-load flexibility are hard to in-house, and most clients build episodically. Observed behaviour is roster consolidation, fewer, deeper consultant relationships, not wholesale in-housing.

Mitigation

Be the consolidated partner: integrated cost, project management, and MEP under one appointment, and offer to run the client's own AI-enabled project controls so that where in-housing happens, it happens on Contollo's rails.

The advisory and feasibility layer is commoditised

Likelihood: Medium

Impact: Small

Horizon: Medium term

The risk

AI makes early-stage feasibility estimates, cost plans, and benchmarking easy to self-serve from generic tools and public data, eroding the value of the advisory work that leads commissions.

Why it is lower severity

It touches the front of the engagement rather than the fee core, and credible advice still depends on real project data and local market knowledge that generic tools lack.

Mitigation

Lead with proprietary benchmarking built on the group's combined project history, packaged as a paid product (Opportunity A) rather than free scoping.

Scaled competitors industrialise delivery with owned AI

Likelihood: Medium Impact: High Horizon: Short–medium term

The risk

The majors — AECOM with Consigli, Turner & Townsend with CBRE's combined data — industrialise AI-assisted delivery and push down-market, undercutting mid-market fees and winning framework re-tenders on speed, price, and tooling.

Why it matters

The threat is not only AI but scale-driven consolidation of client spend; framework decisions move quickly and are largely outside Contollo's control once a client rationalises its consultant roster.

Mitigation

Reframe the proposition with at-risk accounts and frameworks before re-tender: integrated group delivery, senior accountability, and demonstrable AI-assisted efficiency at mid-market prices.

Liability and insurance exposure from AI-assisted work

Likelihood: Medium Impact: Medium Horizon: Medium term

The risk

AI-assisted designs, estimates, and reports carry professional liability under the group's appointments, while PI insurers begin introducing AI exclusions (new exclusion wordings entered the market from January 2026) and the Building Safety Act raises the bar on demonstrable competence.

Why it matters

An uninsured AI-related error on a live project would be direct financial and reputational damage — and unmanaged AI usage across five firms makes the exposure hard to see, let alone control.

Mitigation

Human-in-the-loop review gates for all AI-assisted deliverables, documented verification standards, early engagement with PI brokers on AI usage disclosure, and a group approved-tools register.

Workforce disruption & shadow-AI data leakage

Likelihood: High **Impact: Medium** **Horizon: Short–medium term**

The risk

The skill mix shifts and the junior pipeline thins as AI absorbs measurement and production tasks, while client-confidential drawings, cost data, and security-sensitive information (banking, critical infrastructure) can leak through public AI tools in the absence of a group acceptable-use policy.

Why it matters

High likelihood. Individual AI use is almost certainly happening across the five firms today, and it spans both people (the QS and engineering training model is built on junior production work) and compliance (client confidentiality, GDPR, and security-sensitive work). Leadership confirmed a mid-level ‘hourglass’ gap (4–10 years PQE) dating from the 2008 recession, which makes the junior-plus-AI development path strategically load-bearing.

Mitigation

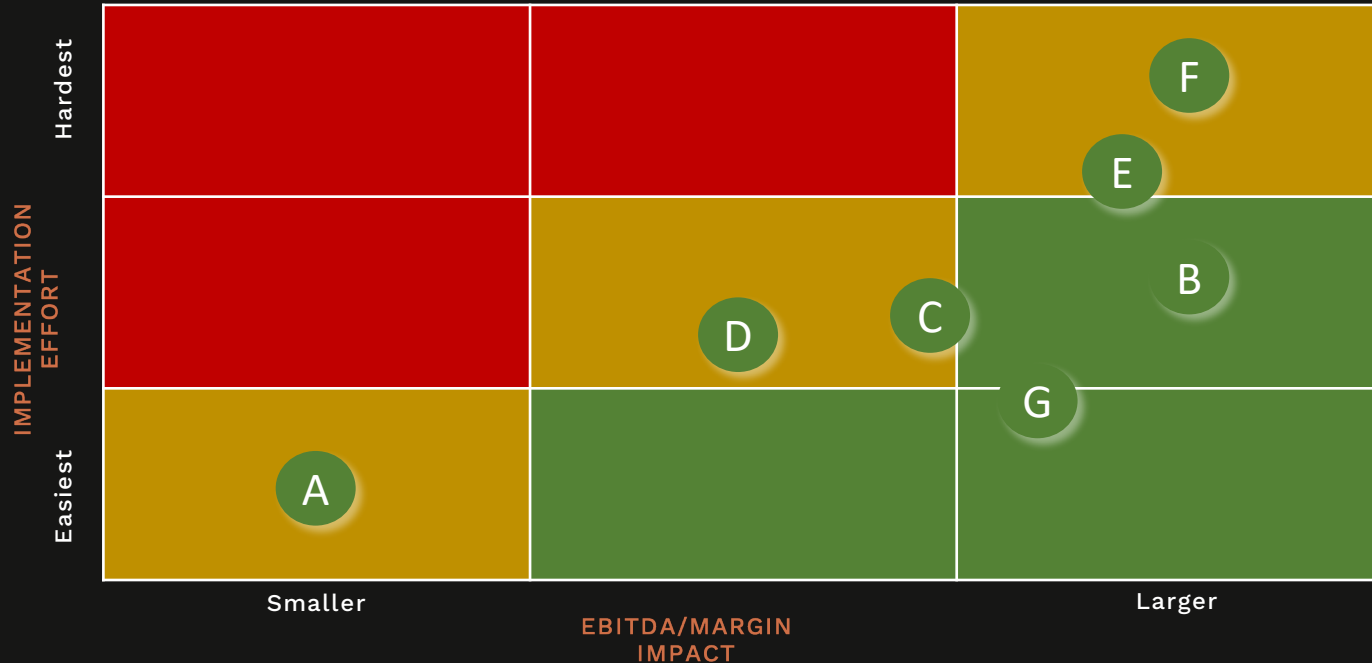
Ship a group acceptable-use policy, approved-tools register, and governed AI gateway; redesign the junior development path around AI-assisted delivery; and treat data governance as the foundation for every opportunity in this report.

05 Opportunities



Opportunities

Immediate no-regrets moves capture AI delivery efficiency as margin (B), productise the diagnostic wedge (A), stand up recurring intelligence and assurance services (C, D), and re-base delivery on AI economics (G). The strategic prizes of unifying the group data asset (E) and commercialising it as an intelligence platform (F), carry the largest value but need a clear house view on data, strategy, and sequencing. Horizons are shown in the tables that follow.



Opportunities

Icon	Opportunity	Horizon	Value / Ease	Benefits
A	Productise an AI-enabled feasibility & benchmarking diagnostic: a paid, rapid cost, options, and benchmarking product at the front of the capital-project cycle.	Short	Smaller value / Easiest	Fast land-and-expand wedge; answers the client's 'what will it cost and what are our options?'; seeds commissions across all three service lines; high-margin.
B	Capture AI delivery efficiency internally, then reinvest. Deploy AI-assisted take-off, estimating, drawing review, and drafting across the five firms.	Short—Med	Larger value / Medium effort	Builds a defensible margin buffer against Risk C; lifts revenue per head on fixed-fee work; demonstrable AI credentials for framework bids.
C	Launch a recurring cost & carbon intelligence service: live benchmarking, capital-programme assurance, and embodied-carbon reporting priced as a subscription.	Short—Med	Med—larger value / Medium effort	New recurring revenue; fits Contollo's sustainability positioning; priced on value rather than time; deepens relationships between projects.

Opportunities

Icon	Opportunity	Horizon	Value / Ease	Benefits
D	AI-assisted delivery assurance & governance: human-in-the-loop verification, QA standards, and AI governance — internal first, then sold to clients.	Medium	Medium value / Medium effort	Converts liability risk (G) into revenue and trust; valued by insurers and framework assessors.
E	Unify the group data asset: consolidate five firms' project histories, cost libraries, and benchmarks into one governed group asset.	Medium	Larger value / Harder	Converts the buy-and-build into structural advantage; the foundation for Opportunities A, C, and F.
F	Build the Contollo intelligence platform: cost prediction, benchmarking, and programme-risk analytics offered to clients.	Long	Largest value / Hardest	The services-to-software pivot: recurring revenue, higher exit multiples, and the answer to the squeeze from above and below.
G	Productise an AI-managed delivery model: estimating, checking, and reporting run AI-assisted with senior sign-off.	Short—Med	Larger value / Medium effort	Re-bases delivery cost on AI economics before clients force the saving; differentiates in bids.

AI-enabled feasibility & benchmarking diagnostic

Ease: Easiest **Value:** Smaller but fast **Horizon:** Short

The opportunity

Productise a paid, rapid feasibility, cost-benchmarking, and options diagnostic — AI-assisted analysis on the group's project data, packaged as a fixed-fee product at the front of the capital-project cycle.

Why it is valuable

A fast land-and-expand wedge that answers the client's 'what will it cost and what are our options?', seeds full commissions across all three service lines, and is high-margin.

How we would deliver

Package existing feasibility and benchmarking work into a fixed-fee engagement with a standard scorecard; pilot with two or three repeat clients; use it as the entry point that seeds Opportunities C and E.

Capture AI delivery efficiency, then reinvest

Ease: Medium effort **Value:** Larger **Horizon:** Short–medium

The opportunity

Deploy AI-assisted take-off, estimating, drawing review, and report drafting across the five firms to expand margin before fee pressure arrives, reinvesting part of the gain in higher-value advisory work.

Why it is valuable

Builds a defensible margin buffer against Risk C, lifts revenue per head on fixed-fee commissions, and gives the group demonstrable AI credentials for framework bids.

How we would deliver

Start with the highest-volume production tasks — take-off, estimating, specification review; hold the saving as margin on fixed-fee work; redeploy freed senior time to advisory and data services. The ‘second brain’ estimating pilot discussed with leadership, codifying tacit QS expertise toward 70–80% automation of early-stage estimates, is the natural first build.

Recurring cost & carbon intelligence service

Ease: Medium effort **Value:** Medium–larger **Horizon:** Short–medium

The opportunity

Launch a recurring, data-led service for repeat clients: live cost benchmarking, capital-programme assurance, and embodied-carbon and net-zero reporting, priced as a subscription rather than a commission.

Why it is valuable

New recurring revenue that fits Contollo's sustainability positioning, deepens relationships between projects, and is priced on value rather than time — directly offsetting the economics of Risk C.

How we would deliver

Build on the group's project data and existing client reporting; pilot with one national occupier with a standing capital programme; productise into a quarterly intelligence subscription. Two products validated with leadership lead the queue: auditable ESG/GRESB reporting built on first-party building data, and post-handover performance monitoring (e.g. DfE staged reporting) tied to retention release.

AI-assisted delivery assurance & governance service

Ease: Medium effort

Value: Medium

Horizon: Medium

The opportunity

Stand up a human-in-the-loop verification, QA, and AI-governance offer, applied to Contollo's own deliverables first, then sold to clients and contractors adopting AI in design and cost.

Why it is valuable

Converts liability risk (G) into revenue and trust; it is defensible, plays to professional accountability, and is a near-term internal proof point that insurers and framework assessors will value.

How we would deliver

Codify verification standards and review gates as named workflow steps; document them for PI brokers and framework bids; then sell assurance of others' AI-assisted work as a standalone service.

Unify the group data asset

Ease: Harder **Value:** Larger **Horizon:** Medium

The opportunity

Consolidate five firms' project histories, cost libraries, and benchmarks into one governed group data asset — the foundation for AI-assisted delivery, proprietary benchmarking, and every data-led service.

Why it is valuable

It converts the buy-and-build into a structural advantage none of the five firms had alone, and it is the asset that makes Opportunities A, C, and F possible; without it, they run on generic data.

How we would deliver

Data audit across the five firms; a common project and cost data model; governed access and client-confidentiality mapping; and a benchmarking layer as the first product on top, processing data in-situ on the consolidated Microsoft tenancy, with role-based access and GDPR-compliant controls.

Build the Contollo intelligence platform

Ease: Hardest Value: Largest Horizon: Long

The opportunity

Commercialise the unified data asset as a platform: cost prediction, benchmarking, and programme-risk analytics offered to clients. The services-to-software pivot for a built-environment consultancy.

Why it is valuable

Recurring platform revenue, structurally higher multiples at exit, and the strongest answer to ‘what stops a major or a software vendor squeezing you out of the middle?’.

How we would deliver

Sequence behind Opportunity E: a benchmarking product for existing clients first, prediction and risk analytics second, and external productisation only once the data asset is proven internally.

AI-managed delivery model

Ease: Medium effort **Value:** Larger **Horizon:** Short–medium

The opportunity

Evolve the core service lines into a governed, AI-first delivery model: measurement, estimating, checking, reporting, and document production run AI-assisted as standard, with human-in-the-loop control and senior sign-off.

Why it is valuable

It re-bases the group's cost of delivery on AI economics before clients force the saving, converting the Risk C threat into a productised, defensible way of working that differentiates in framework bids.

How we would deliver

Define named AI-assisted service components with quality thresholds and sign-off gates; roll out firm-by-firm starting with cost management; and make the group data asset (Opportunity E) the operating backbone.

06



Semanti

Mythos Readiness Assessment

Mythos Readiness Dashboard

The thesis: Mythos-tier models lower the cost and skill floor for offensive cyber. A company's exposure depends on what it **owns vs outsources** — and outsourcing only counts as a control if the contract makes it one.



GOVERNANCE GATE

Engaged with NorthEdge's security partner?

☒ Engaged
☐ Not engaged

☐ Onboarding

OUTSTANDING REMEDIATIONS

☒ None
☐ Low / Med
☐ High / Critical Open: ____

RAG

G

A

R

1 BUILD

In-house software development?

☐ Yes ☒ No ☐ Partial

If yes — controls in place:

☐ Secure SDLC / peer code review

☐ SAST / DAST scanning

☐ Dependency & secrets scanning

☐ Pen-test cadence

☐ Patch / vuln remediation SLA

DIMENSION RAG

G

A

R

2 RUN

Self-managed infra / networks?

☐ Yes ☒ No ☐ Partial

If yes — controls in place:

☐ Network segmentation

☐ Monitoring / SOC / EDR

☐ IAM, MFA & privileged access

☐ Backup & tested recovery

☐ Tested incident-response plan

DIMENSION RAG

G

A

R

3 OUTSOURCE

Fully managed (SaaS / MSP / cloud)?

☒ Yes ☐ No ☐ Partial

Is risk actually transferred — by contract:

☒ SOC 2 / ISO 27001 evidence

☒ Security SLA + breach notice

☐ Right-to-audit clause

☐ Liability / indemnity vs deal size

☐ 4th-party / supply-chain attestation

DIMENSION RAG

G

A

R

MYTHOS-TIER READINESS VERDICT

 **READY**
 **GAPS**
 **EXPOSED**

TOP 3 NEXT STEPS: 1) Continue DPO-led work to define “critical IT suppliers” and contact each to determine whether they have proactively assessed their software for enhanced (Mythos-type) security vulnerabilities, and obtain assurance around their forward looking cyber security roadmap. 2) Continue to review infra patching routines with Clever IT as threats evolve and consider whether a managed SOC (Security Operations Centre) addition is appropriate depending on Board risk appetite,

Contact

James Taylor

Co-Founder & CEO

james@semanti.com

+44 (0)7595 663900

July 2026